

Fortifying the Farmer

The window opens for Indian products, but the standards get stiffer, while fears of GM crops coming in persist

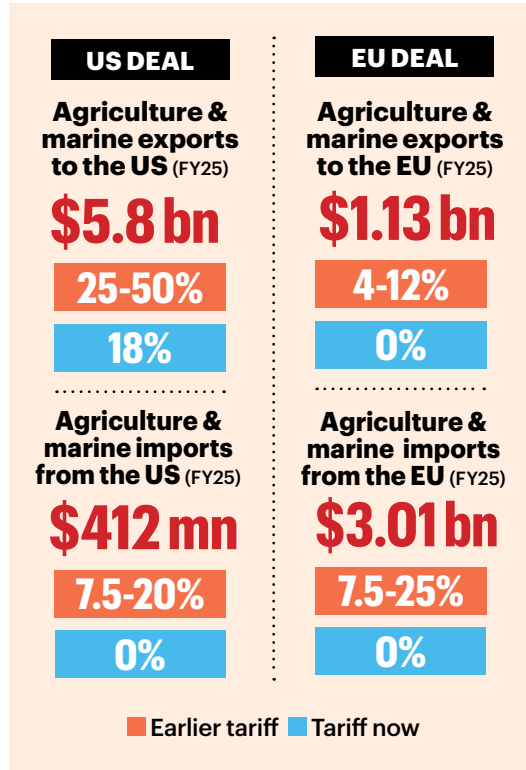
Agriculture remains India's most politically sensitive sector. In FY25, India exported $51.9 billion (Rs 4.70 lakh crore) worth of agricultural and processed food products, led by rice, spices, tea, coffee and fruit pulp. The EU, UK and US together absorb roughly one-fifth of these. Under the India–EU free trade agreement, tariffs of 12–17 per cent on value-added food products such as spices, fruit pulp and ready-to-eat foods will be eliminated within three years. The India–UK deal goes further, offering near-total duty-free access for basmati rice, tea and several processed food categories. The Indo-US framework is narrower, opening tariff-rate quotas for coffee, tea and organic products.



"We want to hear more details from the government on GM crop imports. Till now, we have been assured that there is no change in country's GM policy"

— ASHWANI MAHAJAN

National Co-convenor, Swadeshi Jagran Manch



Exporters say this puts India on an equal footing with rivals. However, the EU's Green Deal mandates strict traceability, pesticide-residue testing and carbon reporting. Currently, only around 200 packhouses certified by the Agriculture and Processed Food Products Export Development Authority (APEDA) meet these standards, raising concerns that smaller exporters could struggle unless capacity expands rapidly. At the same time, the deals require India to lower tariffs on select agricultural imports, particularly from the US. These include distillers' dried grains (DDGS), soybean oil, red sorghum for animal feed, and certain fruits and nuts. Union commerce minister Piyush Goyal has insisted that farmers' interests are protected and reiterated that India will not import genetically modified food products.

That assurance has not calmed farmer unions. From February 12, the Samyukt Kisan Morcha (SKM) and its affiliates plan nationwide protests, arguing that cheaper imports could depress farmgate prices. Soybean oil has emerged as the flashpoint. India imports 2.5–3 million tonnes annually and imposes a basic customs duty of about 35 per cent. Any reduction could ease cooking-oil inflation but squeeze oilseed farmers/ processors in Madhya Pradesh, Maharashtra, Rajasthan and Gujarat. Political sensitivities are heightened by concerns around genetically modified crops.

Over 94 per cent of US soybeans are GM, and while refined soybean oil contains no detectable genetic material, groups aligned to the Sangh Parivar fear the deal could open the door to GM-linked food derivatives. Similar tensions surround DDGS imports, which could lower feed costs for poultry and dairy producers but hurt India's Rs 40,000-crore oilseed meal industry, currently protected by duties of 30–40 per cent.

India's marine exports touched $7.45 billion (Rs 67,534 crore) in FY25, making seafood the country's second-largest agri-linked export after rice, with frozen shrimp accounting for over 70 per cent. The US was the biggest market at $2.7 billion (Rs 24,475 crore), followed by the EU ($1.13 billion/ Rs 10,243 crore) and Japan ($370 million/ Rs 3,356 crore). Recent trade frameworks have removed 4–7.5 per cent tariffs on key products, restoring competitiveness and benefiting aquaculture hubs in Andhra, Odisha and Gujarat that employ 1.2 million people.

—Anilesh S. Mahajan